

Subject Code	AF6107
Subject Title	Incentives and Monitoring in Accounting
Credit Value	3
Level	6
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject contributes to the achievement of the DBA/DMgt outcome by acquiring an in-depth knowledge of a specialist area including some basic understanding of the impacts from digital technology. (Outcome 2). Effective corporate operation demands correct incentive structure and appropriate monitoring system. Good corporate governance provides both incentives and monitoring. The overall aim of this course is to familiarize students with the broad framework of corporate governance that relates to incentive and monitoring. Special focus will be on accounting and auditing that act as corporate governance devices. Specialist knowledge learning objective is to understand and evaluate how the new technologies, such as data science and artificial intelligence (AI) influence accounting practice and financial market in general.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - understand the basic theories behind the need for incentives and monitoring in modern corporations. - understand the governance structure in developing internal incentive and monitoring systems. - appreciate the interactions between internal incentive/monitoring system with the external environment - understand accounting/auditing as special corporate governance devices. - analyze and evaluate different accounting/auditing issues as related to incentives and monitoring. - understand how Fin-tech (e.g., AI, ML) reshape accounting/finance research
Subject Synopsis/ Indicative Syllabus	Topic 1. Corporate governance (as an internal system to develop incentive-compatible contracts and effective monitoring system) Topic 2. Incentives/monitoring and earnings management/Tax avoidance Topic 3. Agency theory and incentive scheme for executives Topic 4. Information environment and external monitoring (Security Analysts and Auditors)
Teaching/Learning Methodology	The format of the classes will be workshops in which the professor will provide a broad overview of the topics, following which related research papers in top-tier journals will be discussed. There will also be team or individual presentation of research paper.

Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d	e	f
	Continuous Assessment	100%						
	1. Class participation	20%	✓	✓	✓	✓	✓	✓
	2. Presentation	30%	✓	✓	✓	✓	✓	✓
	3. Take-home Exam	50%	✓	✓	✓	✓	✓	✓
	Total	100 %						
Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Each 3-hour module will focus on assigned papers. The lecturer will provide a general overview of the area followed by a detailed discussion of the assigned papers. The student will give a 30 – 40 minute presentation to the class that focuses on summarizing the paper’s main findings, the specific hypotheses tested, the methodology used to test the hypotheses, and a critique of the paper. These presentations will identify the paper’s contribution to the literature, its strengths and weaknesses, and potential extensions by future research. The student should be prepared to moderate a discussion about the paper including answering questions from the class or from the lecturer. Discussions are highly interactive. The inclusion of a take-home examination serves as a means to evaluate students' proficiency in reflecting upon and applying the acquired knowledge within the provided timeframe.								
Student Study Effort Expected	Class contact:							
	▪ Lectures / Seminars						30 Hrs.	
	Other student study effort:							
	▪ Preparation for Presentations						60 Hrs.	
	Total student study effort						90 Hrs.	
Reading List and References	Background (General): Scott, William R., Financial Accounting Theory, 2014, 7th edition, Pearson (Prentice Hall) Education Canada Inc., Toronto, Ontario							
	Topic 1. Corporate governance (16 September 2023) 1. <u>Ashbaugh-Skaife, Hollis, Daniel W. Collins, and Ryan LaFond. 2006. The Effects of Corporate Governance on Firms’ Credit Rating. Journal of Accounting & Economics 42 (October): 203-243.</u>							

2. Gompers, Paul, A. Joy L. Ishii, and Andrew Metrick. 2003. Corporate Governance and Equity Prices. The Quarterly Journal of Economics 118 (February): 107-155.
3. Bill Francis, Iftekhar Hasan, Michael Koetter, and Qiang Wu. Corporate Boards and Bank Loan Contracting. Journal of Financial Research, 2012, 35(4): 521-552
4. Bill Francis, Iftekhar Hasan, and Qiang Wu. Do Corporate Boards Matter during the Current Financial Crisis? Review of Financial Economics, 2012, 21(2), 39-52
5. Bill Francis, Iftekhar Hasan, and Qiang Wu. Professors in the Boardroom and Their Impact on Corporate Governance and Firm Performance. Financial Management, 2015, 44(3): 547-581
6. Zhu, Christina, 2019. Big Data as a Governance Mechanism, The Review of Financial Studies, 32(5), 2021–2061.
7. Ashok Robin, Qiang Wu, and Hao Zhang. Auditor Quality and Debt Covenants. Contemporary Accounting Research, 2017, 34 (1): 154-185
8. Ajinkya, B., S. Bhojraj, and P. Sengupta. 2005. The association between outside directors, institutional investors and the properties of management earnings forecasts. Journal of Accounting Research 43 (June): 343-376.
9. Agrawal, A., & Knoeber, C. R. (1996). Firm performance and mechanisms to control agency problems between managers and shareholders. Journal of Financial and Quantitative Analysis, 31(3), 377–397.
10. Adams, R.B., Ferreira, D., 2009. Women in the boardroom and their impact on governance and performance. Journal of Financial Economics 94, 291–309.

**Topic 2. Asymmetric information, Agency problem, and incentive scheme for executives
(17 September 2023)**

11. Rego, S.O. and Wilson, R., 2012. Equity risk incentives and corporate tax aggressiveness. Journal of Accounting Research, 50(3), pp.775-810.
12. Jensen, Michael C. and Kevin J. Murphy, 1990. Performance pay and top-management incentives, Journal of Political Economy, v98n2, 225-264.
13. Armstrong, C.S., Blouin, J.L., Jagolinzer, A.D. and Larcker, D.F., 2015. Corporate governance, incentives, and tax avoidance. Journal of accounting and Economics, 60(1), pp.1-17.
14. Low, Angie, 2009. Managerial Risk-Taking Behavior and Equity-Based Compensation. Journal of Financial Economics, 92, 470-490.
15. Deckop, J.R., Merriman, K.K. and Gupta, S., 2006. The effects of CEO pay structure on corporate social performance. Journal of Management, 32(3), pp.329-342.
16. Sundaram, R., and D. Yermack. 2007. Pay me later: Inside debt and its role in managerial compensation. Journal of Finance 62, 1551-1588.
17. Edmans, A., and Q. Liu. 2011. Inside debt. Review of Finance 15 (1): 75-102.
18. Bliss, Richard T., Richard J. Rosen, 2001. CEO compensation and bank mergers. Journal of Financial Economics 61, 107-138.
19. Jiang, J. X., Petroni, K. R., Wang, I. Y. 2010. CFOs and CEOs: Who have the most influence on earnings management? Journal of Financial Economics 96, 513-526.
20. Stan Hoi, Qiang Wu, and Hao Zhang 2019 “Does Social Capital Mitigate Agency Problems? Evidence from Chief Executive Officer (CEO) Compensation” Journal of Financial Economics, 2019, 133(2): 498-519

**Topic 3. Incentives/monitoring and earnings management/tax avoidance
(11 November 2023)**

21. Bergstresser, D., and T. Philippon. 2006. CEO incentives and earnings management. *Journal of Financial Economics* 80 (3), 511-529.
22. Klein, A., 2002. Audit committee, board of director characteristics, and earnings management. *Journal of Accounting and Economics* 33, 375-400.
23. Cohen, D., A. Dey, and T. Lys. 2008. Real and accrual-based earnings management in the pre- and post-Sarbanes Oxley periods. *The Accounting Review* 83: 757–787.
24. Yu, F. 2008. Analyst coverage and earnings management. *Journal of Financial Economics* 88, 245-271.
25. Kim, Y., Park, M. S., & Wier, B. (2012). Is Earnings Quality Associated with Corporate Social Responsibility? *The Accounting Review*, 87(3), 761–796.
26. Arthur Allen, Bill Francis, Qiang Wu, and Yijiang Zhao Analyst Coverage and Corporate Tax Aggressiveness *Journal of Banking and Finance*, 2016, 73, 84-98
27. Iftekhhar Hasan, Stan Hoi, Qiang Wu, and Hao Zhang. Does Social Capital Matter in Corporate Decisions? Evidence from Corporate Tax Avoidance. *Journal of Accounting Research*, 2017, 55 (3): 629-668
28. Hoi, C., Wu, Q., Zhang, H., 2013. Is corporate social responsibility (CSR) associated with tax avoidance? Evidence from irresponsible CSR activities. *The Accounting Review* 88, 2025–2059.
29. Ming Fang, Bill Francis, Qiang Wu, and Iftekhhar Hasan. Social Network and Earnings Management. *British Accounting Review*, 2022, 54 (2), 101044
30. Amy Chen, Bill Francis, Qiang Wu, and Tahseen Hasan. Corporate Culture and Audit Fees, Evidence from Textual Analysis. 2022, 49, 778-806

**Topic 4. External monitoring (other stakeholders, ESG)
(12 November 2023)**

31. Heese, J., Pérez-Cavazos, G. and Peter, C.D., 2022. When the local newspaper leaves town: The effects of local newspaper closures on corporate misconduct. *Journal of Financial Economics*, 145(2), pp.445-463.
32. Dyreng, S.D., Hoopes, J.L. and Wilde, J.H., 2016. Public pressure and corporate tax behavior. *Journal of Accounting Research*, 54(1), pp.147-186
33. Heese, J. and Pacelli, J., 2023. The monitoring role of social media. *Review of Accounting Studies*, pp.1-41.
34. Boone, J.P., Khurana, I.K. and Raman, K.K., 2013. Religiosity and tax avoidance. *The Journal of the American Taxation Association*, 35(1), pp.53-84.
35. Cheng, A., Francis, B., Shen, V. and Wu, Q., 2023. Do Creditor Control Rights Impact Corporate Tax Aggressiveness? Evidence from Debt Covenant Violations. *Journal of Business Finance and Accounting*, Forthcoming
36. Chang, K., Kim, Y.S., Li, Y. and Park, J.C., 2022. Labor unions and real earnings management. *Journal of Corporate Finance*, 75, p.102242.
37. Bin Wang, Qiang Wu, Zhengyi Zhang and Rong Yang: Employee Protection Law and Auditing Fee”, Working paper

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| | <p>38. Shenlan Chen, Ma Hui, Qiang Wu, and Hao Zhang, Do Employees Discriminate Their Female Bosses? Empirical Evidence from Glassdoor CEO Ratings”, Working paper</p> <p>39. Christensen, D.M., Serafeim, G. and Sikochi, A., 2022. Why is corporate virtue in the eye of the beholder? The case of ESG ratings. <i>The Accounting Review</i>, 97(1), pp.147-175.</p> <p>40. Ajay Adhikari, Bill Francis Johan Maharjan and Yijiang Zhao, Analysts’ Career Concerns and Corporate Social Responsibility”, Working paper</p> |
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